

guaranteed product, or approximately in a market-linked one. Stay away from products that give you returns in absolute numbers – Rs 1 lakh will become Rs 5 lakhs. This does look like a return of five times, but when you understand that this is over thirty years, the return works out to an unimpressive 5.5 per cent a year.

Also remember that returns and risk are linked. Low returns usually come with a guarantee. To get a higher return, you will need to take more risk. Stay away from low-return market-linked products like participating insurance plans. Remember the return must be in terms of your investment. A trick to fool you perfected by insurance companies is to link returns to a third number!

The agent will tell you: You will get back 105 per cent of the sum assured – 105 per cent looks like a big number. But the sum assured is not your investment. Beware of such illustrations and sales pitches. You should be able to compare the return to your bank FD. Market-linked products and ‘participating’ insurance plans cannot give assurances of future returns, so ask to see how the product did on past returns. Don’t let the seller shop for the best-return year.

In a mystery shopping exercise I did for a research paper with economist Renuka Sane, we sent mystery shoppers to 400 bank branches in Delhi, and found bank managers picking the best past return to lure investors.

Ask for an average annual return of the product for the last three, five and ten years. Then ask to see benchmark returns. Then ask to see category returns.

Category return is the average return of the category of the product. For example, if the seller tells you that your money will go into a large-cap fund, even in an insurance plan, ask to see what the category of large-cap funds have done over the past. How does the fund being sold compare to that?

What about participating plans that lure with a ‘bonus’? As I said earlier, the use of the word bonus is simply a trick and a trap. To lure and trap you in a low-return product. Ask what similar plans have returned in the past as a percentage of the total amount invested. If the seller can’t answer, walk away from the product.

Lock-in